

your investment. Ten years later, you look at that index fund and realize it has made a bunch of money. You missed out on all those gains because you freaked out when you saw the market heading downward.

Of course, in a perfect world, you could “time the market”: if you knew when the market was going to crash, you could sell all of your stocks while the price was still high. Then, when the market crashed, you could buy all the stocks while they were cheap. Unfortunately, no one can time the market. People try this strategy all the time, but the market is too unpredictable. There are things like the COVID-19 pandemic that affect the market dramatically and that humans just cannot anticipate. One of the most famous sayings in investing is, “It’s not about *timing* the market, it’s about *time in* the market.” When you see people panicking and freaking out because the market is going down, relax. Keep investing and trust that the market is going to come back up; historically, it always has.